economy.

Why do you think you are managing so little money when your return/risk is better than most equity hedge fund managers?

That's an easy question to answer. I'm a lousy marketer. I have never actively marketed the fund. I prefer to look for good investments as opposed to new investors. Also, at my current level, I can make a decent living without the headaches that come with building a larger firm. When I was on the sell-side, I used to be responsible for hiring and supervising analysts, and I never enjoyed that quite as much as looking for companies to invest in.

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Claude Debussy said, "Music is the space between the notes." Analogously, the space between investments—the times one is out of the market—can be critical to successful investing. Despite being primarily a net long equity investor, Daly achieved cumulative gross returns in excess of 800 percent during a 12-year period when the broad equity market indexes were essentially flat. How did he do it? Well, of course, superior stock selection was an important component, but it is not the entire answer. Not being invested (that is, being primarily in cash) during negative environments is the other part of the answer. By not participating in the market at the wrong times, Daly sidestepped most of the large drawdowns in equities during two major bear markets—a crucial factor that underlies the large growth in his equity. Sometimes, being out of the market may be nearly as important to success as the investments made. Whether you are a value investor, as Daly is, or use some totally different investment or trading approach, the critical lesson is that it is important not to be involved in the market when the opportunities are not there.

A corollary to the ability to be out of the market is the importance of patience to successful investing. You need patience to stay on the sidelines when the environment is adverse to your approach or when opportunities are lacking or suboptimal. Think of the patience it required for Daly to remain largely in cash for well over two years in the prolonged 2000 to 2002 bear market.